

AC1100 — Introduction to Accounting

Winter 2023 · Paper 1 · Full Marking Scheme

Module Code	AC1100
Module Title	Introduction to Accounting
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Paper Number	Paper 1
Duration of Paper	1.5 Hours
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Question	Scenario / Topic	Marks
Question 1 (Compulsory)	Jimmy Jones Limited — SOPL & SOFP (6 adjustments including inventory, depreciation, government grant, tax overprovision, irrecoverable debts, dividends)	40
Question 2	Janeway Limited — Statement of Cash Flows (IAS 7, indirect method)	30
Question 3	Ginger Limited — Property revaluation; machinery disposal; warranty revenue (IFRS 15)	30
Question 4	IAS 1 — SOFP objectives & limitations; expense classification; SOCE; accounting policies; estimation uncertainty	30

Instructions to Candidates: Please answer Question 1 in Section A and two other questions from Section B. All workings must be shown.

Note on this marking scheme: Numerical parts are marked on correct method and workings with the **own-figure rule** applied throughout. This is a more advanced paper: IFRS 15 revenue allocation, IAS 7 cash flows, IAS 16 revaluation and IAS 20 government grants are all tested. Award 1 mark per correct line item in financial statements unless otherwise stated.

QUESTION 1 — SECTION A (COMPULSORY)

Jimmy Jones Limited

Total: 40 marks

This compulsory question requires preparation of a statement of comprehensive income and a statement of financial position from a trial balance with six adjusting notes covering inventory (NRV and free-item), depreciation on premises and plant, government grant, corporation tax with prior year overprovision, irrecoverable debts with partial recovery, and a shareholder-approved final dividend.

Key Adjustments Summary

Note	Adjustment
1	Closing inventory gross €45,600 less free item €5,600 (zero cost per IAS 2) = €40,000
2	Premises dep: €2,800,000 ÷ 40 years = €70,000 p.a. (charged to admin expenses)
3	Plant dep: €1,800,000 × 20% SL = €360,000 (in cost of sales). Grant €20,000 = other income
4	Tax: current year €89,000 less prior year overprovision €13,700 (CR) = net €75,300
5	Irrecoverable debt: €20,000 × 60% unrecoverable = €12,000 loss (assumed in TB €85,000)
6	Final dividend 1 cent × 1,000,000 shares = €10,000, approved 28 Dec 2022 → current liability

Question 1

40 marks

Prepare Jimmy Jones Limited's statement of comprehensive income for the year ended 31 December 2022 and statement of financial position as at that date.

Statement of Comprehensive Income — year ended 31 December 2022

	Note	€	€
Revenue (2,340,500 – 2,500 sales returns)			2,338,000
Opening inventories		34,650	
Purchases (1,430,800 – 1,800 returns)		1,429,000	
Manufacturing wages		98,000	
Depreciation – plant (1,800,000 × 20%)	3	360,000	
Less: Closing inventories	1	(40,000)	
Cost of Sales			(1,881,650)
Gross Profit			456,350
Administration expenses (156,200 + 70,000 dep premises)	2	(226,200)	
Advertising		(24,800)	
Audit fees		(5,780)	
Irrecoverable debts	5	(85,000)	
Debenture interest		(8,000)	
Total expenses			(349,780)
Operating profit			106,570
Government grant income	3		20,000
Profit before tax			126,570
Income tax – current year	4	(89,000)	
Income tax – prior year overprovision	4	13,700	
Net tax charge			(75,300)
Profit for the year			51,270

Key workings: Inventory: items at NRV are already correctly included at NRV in the gross €45,600; the free item (€5,600) has zero cost under IAS 2 and must be removed → closing inventory = €40,000. Plant dep on full €1,800,000 (includes new item per full-year policy) = €360,000 in COS. Premises dep €70,000 in admin. Government grant €20,000: recognised as other income (IAS 20 income approach per TB presentation). Prior year overprovision €13,700 is a CR → reduces current year tax charge. Final dividend €10,000: approved by shareholders 28 Dec 2022 (within year) → current liability in SOFP, NOT in SOPL.

Marks	Criteria
1 per line	Award 1 mark per correctly calculated line. Key marks: correct net revenue (€2,338,000); correct COS including plant depreciation and adjusted closing inventory (€1,881,650); gross profit €456,350; admin expenses including premises dep (€226,200); all other expense lines; grant income correctly shown below gross profit (€20,000); net tax correctly split into current and overprovision credit; profit for year €51,270.
Inventory	Full marks for closing inventory €40,000 only if free item (€5,600, zero cost) is correctly excluded. NRV item: as stated at €1,500 in the gross figure, no further adjustment needed.

Statement of Financial Position — as at 31 December 2022

Non-Current Assets			
Asset	Cost	Accumulated Dep.	Carrying Amount
Premises	2,800,000	490,000	2,310,000
Plant	1,800,000	720,000	1,080,000
Non-current investments			120,000
Total NCA			3,510,000
Current Assets			
Inventories (at lower of cost and NRV)			40,000
Trade receivables			180,500
Bank			10,100
Total CA			230,600
Total Assets			3,740,600

Equity & Liabilities	€
Equity	
€1 ordinary shares	1,000,000
Share premium	450,000
Retained earnings (1,415,330 + 51,270 – 25,000 interim – 10,000 final)	1,431,600
Total Equity	2,881,600
Non-Current Liabilities	
4% Debentures	550,000
Total NCL	550,000
Current Liabilities	
Trade payables	210,000
Corporation tax payable (current year provision)	89,000
Dividends payable (final dividend, approved 28 Dec 2022)	10,000
Total CL	309,000
Total Equity and Liabilities	3,740,600

Key SOFP workings: Premises accumulated dep: 420,000 + 70,000 = €490,000. Plant accumulated dep: 360,000 + 360,000 = €720,000. Retained earnings: 1,415,330 + 51,270 – 25,000 (interim) – 10,000 (final dividend approved within year) = €1,431,600. Tax payable = €89,000 current year provision (prior year overprovision reduces IS charge, not SOFP). Final dividend €10,000: approved by shareholders 28 Dec 2022 → current liability. The prior year current tax CR €13,700 is effectively a refund/credit; the current year provision €89,000 is the new liability. SOFP balances at €3,740,600.

Mark Allocation — SOFP

Marks	Criteria
1 per line	Key marks: correct accumulated depreciation for premises (€490,000) and plant (€720,000); carrying amounts (premises €2,310,000; plant €1,080,000); closing inventory correctly adjusted (€40,000); retained earnings correctly calculated (€1,431,600); final dividend €10,000 as current liability (approved within year); tax payable €89,000; SOFP balances at €3,740,600.
Dividend	1 mark for correctly classifying approved dividend as current liability (not merely disclosed). Interim dividend already paid (in TB) → reduces retained earnings only.

QUESTION 1 TOTAL — 40 MARKS

Janeway Limited — Statement of Cash Flows

Total: 30 marks

This question tests the preparation of a Statement of Cash Flows using the indirect method per IAS 7. All figures are in €'000. Key challenges: deriving depreciation and NCA additions from SOFP movements; correctly classifying the term deposit investment; and calculating dividends actually paid in cash from the dividend payable movement.

Question 2

30 marks

Using the indirect method, prepare a statement of cash flows for Janeway Limited for the year ended 31 December 2022 in accordance with IAS 7 Statement of Cash Flows. All figures in €'000.

Key Workings Before the Statement

Depreciation — derived from SOFP movements

	Plant	Equipment
Opening CV	2,100	780
Add: Additions during year (derived from cost movements + disposals)	+2,700	+480
Less: CV of assets disposed	(900)	(90)
Less: Depreciation charge for year	(900)	(270)
Closing CV	3,000	900
Total depreciation	900 + 270 = 1,170	

Deriving additions: Plant additions = closing cost (4,290) – opening cost (3,090) + disposed cost (1,500) = 2,700. Equipment additions = closing cost (1,890) – opening cost (1,710) + disposed cost (300) = 480.

Dividends paid in cash: Note (vi) states €60k was debited to retained earnings during the year. But dividends payable increased from €15k to €45k. Cash paid = opening payable (15) + declared (60) – closing payable (45) = **€30k**.

Tax paid: Opening tax payable (82) + current year charge (105) – closing tax payable (128) = **€59k** paid.

Janeway Limited — Statement of Cash Flows, year ended 31 December 2022 (€'000)

Operating Activities	€'000	€'000
Profit before taxation	1,365	
Add: Interest charge	192	
Less: Net profit on disposal of assets (150 – 30)	(120)	
Add: Depreciation (plant 900 + equipment 270)	1,170	
Decrease in inventories (615 → 555)	60	
Increase in trade receivables (435 → 885)	(450)	
Decrease in trade payables (458 → 307)	(151)	
Cash generated from operations		2,066
Interest paid		(192)
Tax paid (82 + 105 – 128)		(59)
Net cash from operating activities		1,815
Investing Activities	€'000	€'000
Proceeds from sale of plant (900 + 150)	1,050	
Proceeds from sale of equipment (90 – 30)	60	
Purchase of plant	(2,700)	
Purchase of equipment	(480)	
Purchase of short-term investment (term deposit)	(1,500)	
Net cash used in investing activities		(3,570)
Financing Activities	€'000	€'000
Proceeds from issue of ordinary shares (3,450 + 150 – 3,000)	600	
Proceeds from issue of debentures	1,800	
Dividends paid (15 + 60 – 45)	(30)	
Net cash from financing activities		2,370
Net increase in cash and cash equivalents		615
Opening cash and cash equivalents (450 – 150 overdraft)		300
Closing cash and cash equivalents		915

Mark Allocation

Marks	Criteria
1 per line	Award 1 mark per correctly stated and calculated line. Key marks: correct depreciation derived from SOFP movements (1,170 total); disposal proceeds correctly calculated using gain/loss; working capital movements with correct signs; tax paid correctly calculated (59); dividends paid correctly adjusted for payable movement (30, not 60); term deposit correctly classified as investing; correct reconciliation to bank movement of 615.
Structure	Marks also available for correctly structuring the three sections (operating/investing/financing) even where individual lines contain errors; correct treatment of interest as operating vs financing (either acceptable per IAS 7 provided consistent).

QUESTION 2 TOTAL — 30 MARKS

Ginger Limited — Three Issues

Total: 30 marks

Three independent issues: Issue 1 tests IAS 16 property revaluation including prospective depreciation on revalued amount over remaining useful life. Issue 2 tests a straightforward machinery disposal. Issue 3 tests IFRS 15 revenue recognition for a bundled product and service offering using relative standalone selling prices.

Issues in this Question

Issue	Topic	Marks
1	Property revaluation (IAS 16): accounting for revalued property with revised depreciation and revaluation reserve	12
2	Machinery disposal: cost €500,000, SL 10 years, pro-rata monthly, sold 31 Dec 2022	8
3	Warranty revenue allocation (IFRS 15): bundle price €480, TV €450 standalone, warranty €50 standalone, 4,800 units sold, 4-year warranty	10

Question 3**30 marks**

Three issues requiring explanation, illustration and calculation per IFRS.

Issue 1 — Property Revaluation (IAS 16) — 12 marks

Property originally bought 1 January 2014 for €800,000; useful life 40 years; zero residual. Revalued to €900,000 on 1 January 2021 with remaining life 30 years. Year ended 31 December 2022.

Step 1: Carrying value at date of revaluation (1 January 2021)

Cost (1 Jan 2014)	800,000
Depreciation to 1 Jan 2021: 7 years $\times$ (800,000 $\div$ 40)	(140,000)
Carrying value at 1 Jan 2021	660,000
Revalued amount (1 Jan 2021)	900,000
Revaluation surplus to reserves	240,000

Step 2: Revised depreciation after revaluation (prospective)

Revalued amount at 1 Jan 2021	900,000
Remaining useful life at 1 Jan 2021	30 years
Annual depreciation charge (from 2021 onwards)	$900,000 \div 30 = \mathbf{30,000}$ p.a.

Step 3: Carrying value and revaluation reserve at 31 December 2022

Revalued amount (1 Jan 2021)	900,000
Depreciation 2021: $900,000 \div 30$	(30,000)
Depreciation 2022: $900,000 \div 30$	(30,000)
Carrying value at 31 Dec 2022	840,000

Revaluation reserve at 31 Dec 2022 = €240,000 (may be gradually transferred to retained earnings as excess depreciation is charged: excess = 30,000 – 20,000 original = €10,000 p.a. transfer per year → after 2 years, reserve = 240,000 – 20,000 = €220,000 if the incremental transfer policy is applied; if not transferred, reserve remains €240,000).

Mark Allocation — Issue 1

Marks	Criteria
10-12	Correct CV at revaluation (€660,000); correct surplus (€240,000) credited to revaluation reserve; correct revised annual dep (€30,000); correct CV at 31 Dec 2022 (€840,000); recognition that revaluation surplus goes to equity (OCI), NOT IS; discussion of optional incremental reserve transfer.
7-9	Correct CV at revaluation and surplus; correct prospective dep; minor error in CV calculation or reserve treatment.
4-6	Revaluation concept understood; errors in pre-revaluation dep calculation or revised dep rate.
0-3	Limited understanding of IAS 16 revaluation treatment.

Issue 2 — Machinery Disposal — 8 marks

Machinery cost €500,000 on 1 January 2020; SL 10 years, pro-rata monthly; sold 31 December 2022 for €300,000.

Cost	500,000
Accumulated depreciation: 1 Jan 2020 → 31 Dec 2022 = 3 full years × 50,000	(150,000)
Carrying value at disposal (31 Dec 2022)	350,000
Sale proceeds	300,000
Loss on disposal	(50,000)

Note: The machinery was sold on 31 December 2022 (the last day of the year). Since depreciation is charged pro-rata monthly and the question does not state “no dep in year of disposal” (unlike Bosco Mann in the 2024 paper), depreciation is charged for the full year 2022 (12 months), giving 3 full years’ accumulated depreciation = €150,000. Annual dep = 500,000 ÷ 10 = €50,000.

Mark Allocation — Issue 2

Marks	Criteria
7-8	Correct annual dep (€50,000); correct 3-year accumulated dep (€150,000); correct CV (€350,000); correct loss (€50,000) clearly stated as a loss.
4-6	Correct method with minor error in period or rounding.
0-3	Partial attempt; disposal framework understood but dep miscalculated.

Issue 3 — Warranty Revenue (IFRS 15) — 10 marks

Step 1: Allocate bundle price using relative standalone selling prices

Performance Obligation	Standalone Price	Proportion	Allocated from €480
Television	450	450/500 = 90%	432
Warranty (4 years)	50	50/500 = 10%	48
Total	500	100%	480

Step 2: Revenue recognised in year ended 31 December 2022

Item	Timing	Per unit	4,800 units
Television revenue	Recognised on delivery (2022)	432	2,073,600
Warranty revenue — 2022 (1/4 of 4-year warranty)	Recognised evenly over 4 years	12	57,600
Total revenue recognised in 2022		444	2,131,200
Deferred warranty revenue (3/4 remaining)	Recognised in years 2–4	36	172,800

SOPF presentation: Deferred warranty revenue of €172,800 is a contract liability in the SOPF. Split: current portion (year 2 = €57,600) under current liabilities; non-current portion (years 3–4 = €115,200) under non-current liabilities.

Mark Allocation — Issue 3

Marks	Criteria
9-10	Correct relative standalone price allocation (TV €432, warranty €48); correct TV revenue recognised on delivery (€2,073,600); correct 1/4 warranty revenue in 2022 (€57,600); correct deferred warranty revenue (€172,800) as contract liability; current/non-current split of deferred revenue.
6-8	Correct allocation methodology; correct TV revenue; warranty timing slightly wrong (e.g. full year rather than per unit) or deferred amount correct but not split.
3-5	Relative standalone price concept applied but allocation errors; timing of recognition partially correct.
0-2	No meaningful IFRS 15 approach; all revenue recognised on sale without allocation.

QUESTION 3 TOTAL — 30 MARKS

IAS 1 — Presentation of Financial Statements

Total: 30 marks

This question tests theoretical knowledge of IAS 1 across six sub-questions covering the objective and limitations of the SOFP, expense classification, the objective of the SOCE, the importance of accounting policies, and significant judgements/estimation uncertainty.

Question 4

30 marks

Six parts on IAS 1 Presentation of Financial Statements.

Part (a) — Objectives of the SOFP (5 marks)

Primary Objective

The Statement of Financial Position (Balance Sheet) provides users with a structured view of a company's financial position at a specific point in time — showing its assets (economic resources), liabilities (obligations), and equity (residual interest). Its primary objective is to enable users to assess: (1) the entity's *liquidity* — ability to meet short-term obligations; (2) its *solvency* — ability to meet long-term obligations; (3) its *financial structure* (gearing) — the mix of debt and equity financing; and (4) the pool of *economic resources* available to generate future cash flows. Under IAS 1, assets and liabilities are presented as current/non-current, helping users distinguish between short-term and long-term commitments.

Part (b) — Major Limitations of the SOFP (5 marks)

- **Historical cost basis:** Most assets are stated at cost less depreciation, not current market value. Property, for instance, may be worth far more than its carrying amount; inventory is at cost not selling price.
- **Point-in-time snapshot:** The SOFP reflects position on a single date; it can be manipulated by timing transactions to improve the apparent liquidity position (window dressing).
- **Omission of internally generated intangibles:** Brand value, workforce expertise, customer relationships and self-developed intellectual property are excluded because they cannot be measured reliably, even though they may represent the most significant sources of value in many businesses.
- **Estimation and judgement:** Depreciation, impairments, provisions, and fair values involve significant judgement and may not accurately reflect economic reality.
- **No forward-looking information:** The SOFP shows what has happened, not what will happen; it provides no information about the future profitability or strategic direction of the business.

Part (c) — Classification by Nature or Function (5 marks)

(i) What is meant by nature vs function?

Classification by nature groups expenses according to what they are — e.g. raw materials, staff costs, depreciation, advertising — regardless of which business function they relate to. *Classification by function* groups expenses by the activity they support — e.g. cost of sales, distribution costs, administrative expenses — regardless of their underlying nature.

(ii) Which organisations adopt each?

Classification by function is typically adopted by larger, listed companies (e.g. manufacturing or retail groups) where it is more informative to see how costs divide between production, selling, and administration. It requires more judgement in allocating shared costs. *Classification by nature* is simpler and is preferred by smaller organisations or service businesses where the breakdown by function adds little value — it is also sometimes required by local GAAP in certain jurisdictions as it requires no allocation judgements.

Part (d) — Objective of the Statement of Changes in Equity (3 marks)

The Statement of Changes in Equity (SOCE) is required by IAS 1 and reconciles the opening and closing equity position for each component of equity (share capital, share premium, retained earnings, other reserves). Its objectives are to: (1) show the total comprehensive income for the period, separately identifying profit or loss and items of other comprehensive income (such as revaluation surpluses); (2) disclose the effects of changes in accounting policies and corrections of errors; (3) show transactions with owners (dividends paid, share issues, share buybacks); and (4) allow users to understand the movement in each equity reserve, particularly distinguishing distributable reserves (retained earnings) from non-distributable ones (share premium, revaluation reserve).

Part (e) — Why Accounting Policies Improve Understandability (5 marks)

A summary of significant accounting policies, required by IAS 1, improves understandability for general users because: (1) *IFRS often permits choices* — e.g. cost model vs revaluation model for property (IAS 16), FIFO vs weighted average for inventory (IAS 2) — and users need to know which choices the entity has made to correctly interpret the figures; (2) *Comparability* — knowing the policies allows comparisons with other entities and across periods; (3) *Complex estimates* — useful lives for depreciation, methods used for provisions, and revenue recognition policies involve significant judgement, and disclosing these judgements allows users to assess the quality and reliability of the reported figures; (4) *New standards* — when accounting policies change, disclosure of the change and its effect on the financial statements is essential for users to make meaningful comparisons.

Part (f) — Significant Judgements and Estimation Uncertainty (7 marks)

IAS 1 requires disclosure of key judgements and sources of estimation uncertainty at the reporting date. Common areas of estimation uncertainty include:

- **Useful economic lives and residual values** of property, plant and equipment — the choice of useful life directly affects the annual depreciation charge and the carrying value of assets.
- **Impairment of assets** — determining whether goodwill or other assets are impaired requires estimating future cash flows and selecting an appropriate discount rate, both of which are inherently uncertain.
- **Provisions** (e.g. warranty provisions, restructuring provisions) — both the probability that an obligation will arise and the amount required to settle it involve significant judgement.
- **Revenue recognition** under IFRS 15 — when contracts contain multiple performance obligations (as in Issue 3 of Question 3), estimating standalone selling prices for allocation involves judgement.
- **Bad debt provisions / expected credit losses** — under IFRS 9, estimating the expected credit loss on trade receivables requires forward-looking assumptions about counterparty credit risk.
- **Fair value measurements** — for financial instruments or investment properties measured at fair value, the choice of valuation technique and inputs (particularly Level 3 unobservable inputs) can significantly affect the reported amount.

Mark Allocation — Question 4

Marks	Criteria
(a) 5	At least three distinct objectives explained (liquidity, solvency, financial structure, resource assessment); reference to current/non-current classification; written for a non-expert audience.
(b) 5	At least three distinct limitations explained (historical cost, point-in-time, omitted intangibles, estimation, no forward-looking info); each limitation goes beyond a heading to explain the practical impact on usefulness.
(c) 5	Clear distinction between nature (what it is) and function (what it does); correct identification that function is used by larger/manufacturing companies and nature by smaller/service companies; reason for each preference explained.
(d) 3	SOCE objective correctly stated: reconciliation of equity components; total comprehensive income; owner transactions (dividends, share issues); distinguishing distributable/non-distributable reserves.
(e) 5	At least three reasons why accounting policies improve understandability: IFRS choices (cost vs revaluation), comparability, estimation judgements, changes in policy; concrete examples of policies that involve choice.
(f) 7	At least four areas of estimation uncertainty identified and explained (useful lives, impairment, provisions, revenue, bad debts, fair values); each explained with the source and direction of potential uncertainty, not merely listed.

QUESTION 4 TOTAL — 30 MARKS